Affairs within the defence ministry, the move towards joint commands remains a work in progress.

Recruitment is another important matter and has implications for the defence budget. Although India has had a large standing army, pensions for former soldiers are beginning to consume greater portions of the defence budget. To address this, the government proposed the Agnipath scheme involving shorter-term recruitment. The intention was in part to gradually reduce pensions, bring down the average age of enlisted soldiers, and free up budgetary space for military upgrades and modernization. The proposal proved controversial, including with serving and former service members. Nonetheless, changes to defence budgeting and allocations are necessary to meet India's objectives, including facilitating the shift from a manpower-intensive force to a well-trained, -equipped, and -prepared military. As resources are freed up for capital expenditure, important decisions will also need to be made about allocations between services and issues related to infrastructure and procurement within each service.

While questions of defence management and recruitment are primarily internal, the question of defence industrial production has critical external implications. Most major countries have indigenous defence industries, both for national security reasons and for their domestic political value. India has long intended to develop an indigenous defence industry and in fact has both a lengthy history of defence production and a sizeable defence industrial complex. Nevertheless, the country remains reliant on defence imports for a number of reasons that include a historic inability to take advantage of economies of scale, difficulties in absorbing technology, unpredictable defence spending, uncertain requirements on the part of the services, opacity in public sector undertakings and indigenous R&D facilities, political apathy, and a preference for low costs over high quality. As a result, despite having one of the largest defence budgets after the United States and China, about a quarter of which is allocated to capital expenditure, India has historically remained dependent on defence imports, including for critical components. Its defence exports were also, until recently, meagre. [12]